

Infosys Ltd. (NSE: INFY) — DCF Valuation Summary

Discounted Cash Flow analysis using a bottom-up FCFF approach | Prepared as an independent valuation exercise | August 2026

Objective & Methodology

Estimate the intrinsic value per share of Infosys using a 5-year Free Cash Flow to Firm (FCFF) DCF model, discounted at a bottom-up Weighted Average Cost of Capital (WACC) derived from a peer set of Indian IT services companies. Terminal value is calculated using the Gordon Growth method, and the resulting equity value is compared against the prevailing market price to assess relative valuation.

Intrinsic Value / Share	Market Price (as of Aug 2026)	Implied Premium	WACC	Terminal Growth
Rs. 842	Rs. 1,175	+39.5%	13.87%	4.0%

At the current market price, Infosys trades at a ~40% premium to the model's estimate of intrinsic value — i.e. the model suggests the stock is overvalued relative to projected fundamentals, given the stated assumptions.

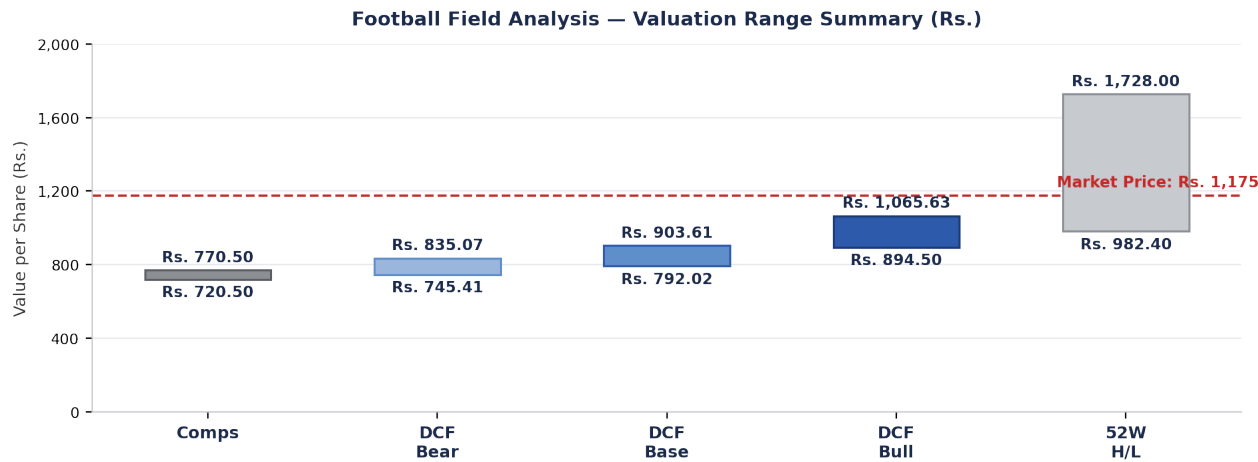
Key Assumption	Value	WACC Build (bottom-up)	Value
Forecast period	FY26 – FY31 (5 yrs)	Risk-free rate	6.83%
Base year EBIT	Rs. 37,378 Cr	Equity risk premium	9.06%
EBIT CAGR (implied)	~13.1%	Levered beta (relevered)	0.82
Effective tax rate	27.3% (steady state)	Cost of equity	14.22%
Reinvestment rate	22.5% → 25.0% (glide)	Post-tax cost of debt	3.33%
Terminal growth rate	4.0%	Target debt weight	3.19%
Discounting convention	Mid-year	WACC	13.87%

Peer Set (used for beta & comps)

Company	Mkt Cap (Rs. Cr)	Debt (Rs. Cr)	D/E	Unlevered Beta
Infosys	4,58,546	8,737	1.91%	0.77
TCS	8,55,894	11,283	1.32%	0.90
HCL Technologies	3,65,503	5,215	1.43%	1.01
Wipro	1,81,891	20,291	11.16%	0.71
Tech Mahindra	1,61,841	2,186	1.35%	0.80

Infosys shown as the subject company; peers ordered by market capitalization.

Valuation Build — Football Field Analysis



Prepared independently as a valuation practice exercise. Peer set: TCS, HCL Technologies, Wipro, Tech Mahindra. Full model (historical financials, ratio analysis, WACC build, terminal growth check, comps) available on request / linked repository.